Trex Company

Operating performance, cash conversion and intrinsic valuation

Information cutoff: 26 October 2026 | Financial reference date: 30 June 2026
USD millions, except per-share amounts. Historical comparatives follow the 2025 filing.

Assessment

The central question is whether Trex can convert its expanded manufacturing footprint into profitable growth and cash generation. Revenue growth alone is insufficient: the model requires a recovery in operating margins, disciplined working capital and lower capital intensity after the expansion cycle. The base case is therefore conditional on execution, rather than a mechanical extrapolation of management's long-term sales ambition.

The strongest counterargument is that capacity expansion arrives ahead of demand. Lower utilisation, a less favourable product mix and persistent commercial spending could absorb volume gains. In that outcome, falling construction expenditure may improve cash flow temporarily while underlying operating returns remain weak. The downside case explicitly separates these effects.

Comparable historical performance [1]

USDm unless stated	2023A	2024A	2025A
Revenue	1,094.8	1,151.4	1,174.3
Gross margin	41.2%	43.6%	39.2%
EBIT	274.6	321.9	258.0
EBIT margin	25.1%	28.0%	22.0%
Operating cash flow	389.4	143.9	358.1
PP&E + intangible investment	166.1	236.6	233.6
Cash flow after investment[1]	223.3	(92.7)	124.5

[1] Operating cash flow less cash purchases of PP&E and intangibles. This historical levered measure differs from the normalised unlevered FCFF used in valuation.

The 2024–2025 comparison illustrates the analytical problem: sales rose approximately 2%, but EBIT fell approximately 20%. Meanwhile, cash flow improved sharply. Earnings, working-capital movements and investment therefore need separate explanations; cash recovery by itself does not establish a margin recovery.

Scope of the valuation

The accompanying workbook is an editable operating forecast and DCF with base and downside scenarios. It is a research exercise using an explicit June 2026 reference date and later available information. It is not a contemporaneous October share-price target. No upside percentage, trading recommendation or claim of a fully integrated three-statement forecast is made.

Business economics and the evidence

How the business creates value

Trex sells composite decking and railing through distributors and retail channels. The investment logic combines substitution away from wood, broader product availability and manufacturing scale. Distribution is also a vulnerability: three customers represented 73% of 2025 sales. Channel inventory and order timing can therefore make reported shipments diverge from end-customer demand. [1]

What the latest operating evidence says

H1 2026 revenue reached $761.4m, up 4.6%, while EBIT declined to $169.7m from $184.1m. The resulting EBIT margin fell from 25.3% to 22.3%. This derived comparison supports a cautious forecast: higher shipments had not yet translated into higher operating profit. [2, 3]

The Q2 commentary identifies mix, additional depreciation and uneven production utilisation as margin pressures. These are more specific explanations than attributing the entire decline to raw-material inflation. A separate raw-material explanation remains unproven without evidence isolating its contribution. [2]

Capacity timing changes the forecast

The earlier expectation of Arkansas decking production in 2027 was superseded by an accelerated Q3 2026 ramp, with management expecting 50% capacity by year-end. Earlier production creates an opportunity for operating leverage but also brings execution and utilisation risk forward. The model does not book a separate “Arkansas premium” on top of forecast margins. [2]

Cash conversion requires a seasonal bridge

H1 operating cash flow was $95.7m; PP&E and intangible investment totalled $57.3m, leaving $38.5m after investment. The much larger $181.8m figure in the release relates to Q2 alone. Substituting that quarter for the half-year would materially overstate cash generation. [2, 3]

A further modelling trap is capital expenditure in accounts payable. Changes in balance-sheet payables include capital purchases, so they cannot automatically be combined with cash capex as though all payables were operating working capital. The model uses cash-flow operating movements for its historical bridge and explicitly stated working-capital assumptions for the forecast.

Accounting comparability

Trex retrospectively changed inventory accounting from LIFO to FIFO in its 2025 annual report. Historical figures in this analysis use that filing’s restated comparatives. Mixing originally reported 2024 earnings or inventory with 2025 comparatives would create artificial changes in profitability and capital efficiency. [1]

Forecast and valuation framework

Guidance is a reference, not a guarantee

The August update guides to 2026 sales of $1,215–1,250m and adjusted EBITDA of $335–350m. Management also provides approximately $85m D&A and $100–120m capex. These are company expectations. Forecast revenue, GAAP operating margins, reinvestment and discount rates remain analyst assumptions; adjusted EBITDA is not silently substituted for GAAP operating earnings. [2]

Base-case revenue starts at the midpoint of sales guidance and grows by 7%, 8%, 8% and 7% in 2027–2030. This is a transparent top-down assumption: public disclosures do not support a reliable separate forecast of unit volumes and realised prices. The downside reduces both growth and operating margins, rather than merely applying a valuation discount to an unchanged business forecast.

Model outputs

Model output	Base	Downside
2030 revenue	1,645.9	1,407.7
2030 EBIT + D&A	493.8	373.0
Enterprise value	3,167.2	2,213.8
Equity value	2,920.7	1,967.3
Value / common share	$28.67	$19.31

Both cases use a 10.0% discount rate and 2.5% perpetual growth. The base implies $28.67 per common share and the operating downside $19.31; this is a scenario comparison, not a confidence interval. At 9–11% WACC and 2–3% growth, the base operating case spans $23.77–36.01 per share.

Terminal value contributes 74.5% of base enterprise value. This dependence is material. Terminal cash flow grows the final forecast FCFF by the perpetual growth rate; it implicitly carries forward the 2030 margin and reinvestment economics. A different sustainable return on capital would change the result.

DCF mechanics and reference date

The DCF starts from the 30 June 2026 balance sheet. The first forecast cash flow covers H2 2026; later cash flows cover full years 2027–2030. End-period discount exponents are 0.5, 1.5, 2.5, 3.5 and 4.5 years. The H2 stub is obtained consistently from the full-year forecast less normalised H1 cash flow, avoiding valuation of cash already generated before the reference date.

Operating value is bridged to equity using June cash of $6.475m, borrowings of $253.0m and 101.865035m shares outstanding. Future repurchases are not credited through a lower share count without also modelling their cash cost. Operating leases remain operating costs; lease liabilities are not subtracted again as financial debt. [3]

The discount rate is a sensitivity assumption rather than a claimed market-observed WACC. Terminal growth must remain below the discount rate. The workbook exposes these controls and the terminal-value contribution so that the reader can see how much of the result depends on economics beyond the explicit forecast.

Risks, decision criteria and sources

What would make the base case credible

Evidence should show sustained shipment growth alongside stable channel inventories, improving gross margin as Arkansas utilisation rises, and lower investment without deteriorating production reliability. Improvement in all three is stronger evidence than revenue growth or cash release in isolation. The next scheduled reporting checkpoint is the Q3 release on 4 November 2026. [4]

The most likely failure mode

Demand grows more slowly than capacity while railing mix and commercial costs dilute the benefit of higher volumes. The result is weaker margins and slower capital turnover. A second risk is overestimating normal cash conversion by treating a seasonal receivables release as a permanent improvement. Customer concentration amplifies both channel and bargaining risks.

Alternative interpretation

A cautious analyst could defer a positive investment view until realised returns on the new capacity become visible, while retaining the model as a monitoring framework. The expansion thesis becomes more persuasive when operating earnings and cash generation improve together. A lower price alone would not resolve uncertainty about the sustainable earnings base.

Limitations and research ownership

This portfolio analysis extends the author’s original company note and historical spreadsheet with AI-assisted research, modelling and drafting. Historical inputs are traceable to the source register; forecast assumptions are visible and editable in the companion workbook. The source ledger and calculation checks are retained alongside the model.

The model omits a full financing, deferred-tax, warranty and detailed fixed-asset forecast. It is suitable for reviewing operating assumptions and valuation sensitivity; transaction execution or an investment decision would require fuller diligence and market calibration.

Source register

[1] Trex 2025 Form 10-K. Consolidated financial statements, accounting-policy change, customer concentration and MD&A. https://www.sec.gov/Archives/edgar/data/1069878/000119312526068732/trex-20251231.htm

[2] Q2 2026 earnings release, 4 August 2026. Operating commentary, guidance and non-GAAP reconciliations. https://www.sec.gov/Archives/edgar/data/1069878/000119312526331450/trex-ex99_1.htm

[3] Q2 2026 Form 10-Q. June balance sheet, H1 income and cash-flow statements. https://www.sec.gov/Archives/edgar/data/1069878/000119312526332813/trex-20260630.htm

[4] Trex reporting-calendar announcement, 1 October 2026. Scheduled Q3 earnings release. https://trexcompanyinc.gcs-web.com/news-releases/news-release-details/trex-company-announces-timing-third-quarter-2026-earnings